Topics for Exam 2

In addition to the topics for Exam 1

Perfect Competition

- MR=P
- Set Q, s.t MR=MC
- When Profit>0, Profit < 0 and Profit =0
- Long run equilibrium

Chapter 6: Monopoly

Behavior of a Monopoly

- Marginal Revenue
    - MR ≠ P
    - Find revenue maximizing quantity
    - Monopolist will always operate on the elastic portion of the demand curve
- Profit Maximization
    - MR =MC
    - Calculate profit = TR – TC
- Learner Index:
    - (P-MC)/P=-1/E Relationship with elasticity
- Welfare Consequences of Monopoly
- CS, PS
- DWL
- Natural Monopoly
- Cost Structure
- Problem with Monopoly Outcome
- Solutions
    - Regulated Monopolistic Market (Price Ceiling at minimum feasible price)

MONOPOLISTIC Competition

- Definition
- relationship to Lerner index

Oligopoly

- Bertrand Competition
    - Price =MC
- Cournot Competition
    - Comparison to Monopoly
    - Comparison to Perfect Competition

READINGS

1. Video: How to Quit
2. Video: History of Monopoly the Board Game
3. Podcast: Monopolistic Competition in the real world